

The Bihar government facilitated the Bhagalpur project by providing land on a symbolic lease of ₹1, a policy measure designed to attract transformative investment, according to officials.



The Adani Group has mapped cumulative investments of over ₹40,000 crore over the next decade, including a 6 MTPA cement unit in Nawada.

Bihar's power deficit vs Adani's supply pledge

- **Peak demand (FY25):** 6,500–7,000 MW
- **Current in-house capacity:** 2,500 MW
- **Adani Group's Bhagalpur project:** 2,400 MW (ultra-supercritical)
- **Potential jobs to be created by the project:** 12,000 (construction) + 3,000 (permanent)
- **Investment value of the project:** $3 billion (Over ₹26,000 crore)

Impact: Nearly halves Bihar's power deficit, anchors new industrial capacity.

(Source: Adani Group)

tonnes per annum (MTPA) cement grinding unit in Nawada, smart meter rollouts, logistics hubs, rail terminals and food processing infrastructure.

At the Bihar Business Connect 2024 summit last December, Pranav Adani, Director, Adani Enterprises Limited, announced that the Group had already invested ₹850 crore in logistics, agri-logistics and city gas distribution, creating 25,000 jobs. With Bhagalpur, that number could rise to 77,000 jobs—direct and indirect—making the Adani Group one of Bihar's largest private employers.

Such a scale of investment represents a vote of confidence not just in Bihar's reforms, but also in its people, its potential, and its future.

Why did the Adani Group choose Bihar?

The Adani Group has a history of venturing where others hesitate. From reviving conflict-hit Haifa Port in Israel to building Dhamra Port in Odisha long before the state's industrial boom, the Group has consistently shown conviction in regions poised for transformation.

The Bhagalpur project reflects this same instinct. Ultra-supercritical technology ensures higher efficiency and lower emissions than traditional coal plants, while coal linkages under the Union government's SHAKTI policy guarantee fuel security. This makes the project both environmentally responsible and future-ready, aligned with India's evolving energy mix.

Bihar's reform dividend

That APL chose Bihar for its largest private power project in over a decade speaks volumes about the state's changing investment climate.

The Bihar Industrial Promotion Policy & Package (BIPPP) 2025 offers capital subsidies, interest rebates, doubled GST (Goods and Services Tax) incentives and faster land dispute resolution. A single-window clearance system has streamlined approvals. At the same time, infrastructure like the Bihta Dry Port, which is located 35 kilometres west of state capital Patna, and the 1,670-acre Integrated Manufacturing Cluster in Gaya are creating plug-and-play ecosystems for investors. Bihar's economic momentum is already visible. The state clocked 13.5 per cent GSDP (Gross State Domestic Product) growth in the financial year (FY) 2024–25, outpacing several industrialised peers. Its economy is diversifying—agriculture contributes 19.9 per cent, industry 21.5 per cent, and services 58.6 per cent—providing a stronger platform for sustained growth.

Changing perceptions

For decades, Bihar's biggest hurdle was not just infrastructure, but perception. Projects such as Lord Karan Bilimoria's proposed Cobra Beer brewery, shelved in 2016 after prohibition, underlined investor concerns about policy unpredictability. That is changing. As Industries Minister Nitish Mishra has observed, the "perception bias is slowly being overcome." Campaigns like "Bihar First, Bihari First" and high-profile investor summits have been crucial in repositioning Bihar as a serious investment destination.

Beyond power: the multiplier effect

The Bhagalpur project is not just a power plant—it is an industrial catalyst. A 2,400 MW base-load capacity can energise food parks in Muzaffarpur, logistics hubs in Patna, information technology (IT) clusters in Gaya and agro-processing units across North Bihar.

Reliable energy also strengthens Bihar's case for data centres and artificial intelligence (AI)-linked digital infrastructure, where low operating costs offer a competitive edge.

Mega investment push

- **Cumulative Investment Plan:** ₹40,000 crore over 8–10 years
- **Already invested (logistics, agri-logistics, gas):** ₹850 crore
- **Cement plant (Nawada):** 6 MTPA grinding unit
- **Employment potential:** 77,000+ direct & indirect jobs
- **Other focus areas:** Smart meters, logistics hubs, rail terminals and food processing

Impact: Adani Group emerges as Bihar's largest private-sector investor.

(Source: Adani Group)

The state's reform dividend and new investments

- **GSDP Growth (FY25):** 13.5% (faster than many industrial states)
- **Sectoral mix:** Agriculture 19.9%
  Industry 21.5%
  Services 58.6%
- **Policy edge:** Capital subsidies, double GST incentives and single-window clearance
- **Upcoming corporate investments:**
  Coca-Cola (SLMG Beverages): ₹3,000 crore
  Bharat Petroleum: ₹7,000 crore
  Shree Cement & Birla Corp: ₹1,559 crore combined
  NHPC Hydropower: ₹5,500 crore
  Haldiram: ₹300 crore

(Source: Govt of Bihar)

From "backward" to breakout state

Bihar's transformation is still a work in progress, with infrastructure gaps and skill shortages to be addressed. Yet, the scale of corporate commitments led by Adani's $3 billion project points to a structural shift.

Once an industrial blank spot, Bihar is now positioning itself as the gateway to Eastern India—leveraging its strategic location, affordable workforce, and massive domestic market. The Bhagalpur project could well be the tipping point that defines this new trajectory.

The bigger picture

India's energy demand is expected to rise from 250 GW today to over 700 GW by 2047. Even with renewables surging, thermal power—an additional 100 GW by 2035—remains essential for ensuring energy security.

In that context, Bihar's largest private-sector power project assumes national importance. For APL, it is another feather in its cap, cementing its leadership in India's energy sector. For Bihar, it is a moment of redemption, an emphatic signal that the "backward state" tag belongs to history.

If Bihar's story was once defined by missed opportunities, today it is increasingly about bold investments and new possibilities. And with the Adani Group leading from the front, the state's industrial future has never looked brighter.